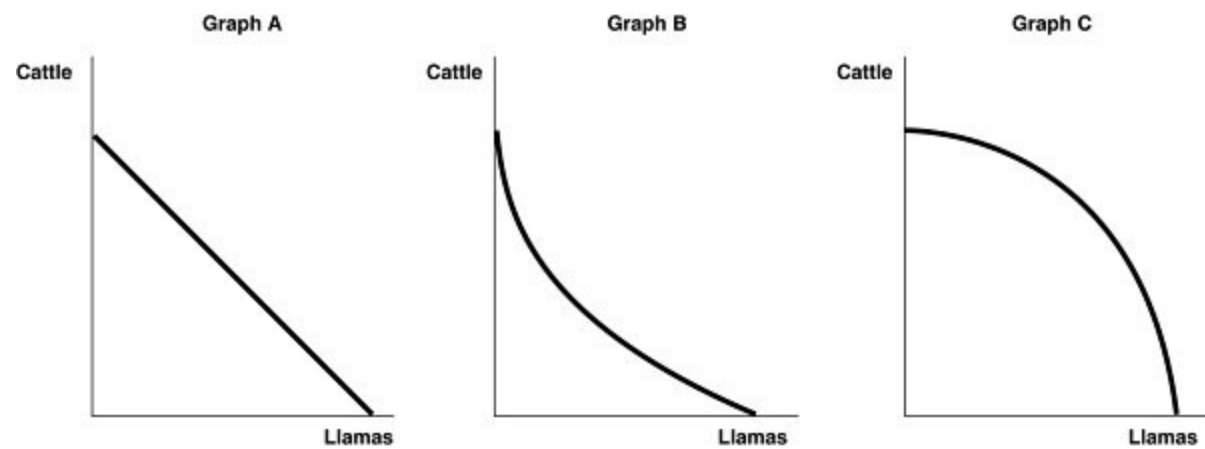


1. Figure 2.3



Refer to Figure 2.3. Sergio Vignetto raises cattle and llamas on his land. Half the land is more suitable for raising cattle and half the land is better suited for raising llamas. Which of the graphs in Figure 2.3 represent his production possibilities frontier?

- ☐ A. Graph A
- ☐ B. Graph B
- ☐ C. Graph C
- ☐ D. either Graph A or Graph C
- ☐ E. either Graph B or Graph C

2. Table 2.5

	Serena	Haley
Bracelets	8	9
Necklaces	16	12

Table 2.5 shows the output per week of two jewelers, Serena and Haley. They can either devote their time to making bracelets or making necklaces.

Refer to Table 2.5. What is Haley's opportunity cost of making a bracelet?

- ☐ A. 3/4 of a bracelet
- ☐ B. 12 necklaces
- ☐ C. 1 1/3 necklaces
- ☐ D. 2 necklaces
- ☐ E. 3 bracelets

3. Table 4.11

Year	Guns Produced	Price of Guns	Butter Produced	Price of Butter
2015	80	\$5	40	\$4
2022	90	6	60	10

Consider the above data for Tyrovia, a country that produces only two products: guns and butter.

Refer to Table 4.11. Nominal GDP for Tyrovia in 2022 equals

- ☐ A. \$1,140.
- ☐ B. \$880.
- ☐ C. \$690.
- ☐ D. \$560.
- ☐ E. \$320.

4. *Table 2.6*

	One Digital Camera	Wheat (per pound)
China	100 hours	4 hours
South Korea	60 hours	3 hours

Table 2.6 shows the number of labour hours required to produce a digital camera and a pound of wheat in China and South Korea.

Refer to Table 2.6. Does either China or South Korea have an absolute advantage and if so, in what product?

- ☐ A. China has an absolute advantage in wheat.
 - ☐ B. South Korea has an absolute advantage in both products.
 - ☐ C. China has an absolute advantage in digital cameras.
 - ☐ D. South Korea has an absolute advantage in wheat.
 - ☐ E. Neither country has an absolute advantage in both products.
-

5. Figure 2.4

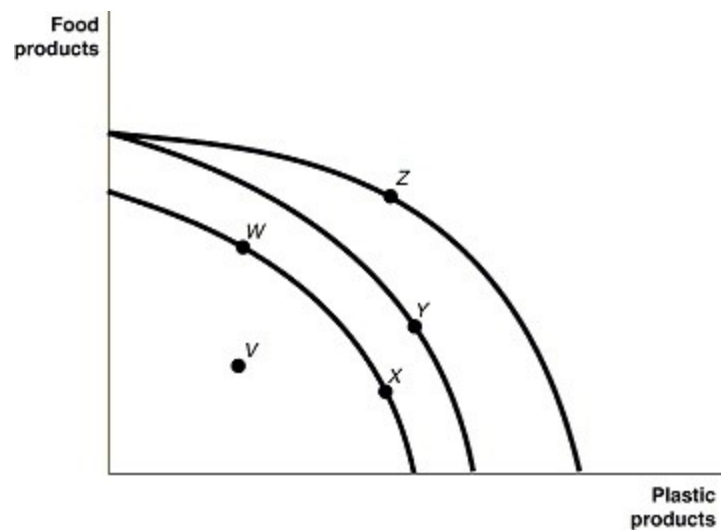


Figure 2.4 shows various points on three different production possibilities frontiers for a nation.

Refer to Figure 2.4. Consider the following movements:

- a. from point V to point W
- b. from point W to point Y
- c. from point Y to point Z

Which of the movements listed above represents economic growth?

- ☐ A. a, b, and c
- ☐ B. b and c only
- ☐ C. a only
- ☐ D. b only
- ☐ E. c only

6. The _____ demonstrates the roles played by households and firms in the market system.

- ☐ A. scarcity theory
- ☐ B. circular flow model
- ☐ C. production possibilities frontier
- ☐ D. business cycle
- ☐ E. theory of comparative advantage

7. By drawing a demand curve with _____ on the vertical axis and _____ on the horizontal axis, economists assume that the most important determinant of the demand for a good is the _____ of the good.

- ☐ A. quantity; price; quantity
 - ☐ B. quantity; price; price
 - ☐ C. price; quantity; quantity
 - ☐ D. price; quantity; price
 - ☐ E. quantity; quantity; price
-

8. Macroeconomics seeks to understand

- ☐ A. the structure of international supply chains.
 - ☐ B. public choices, private choices, and consumer maximization.
 - ☐ C. industry sales, marketing strategies and corporate growth.
 - ☐ D. product demand, product cost, and profit maximization.
 - ☐ E. economic growth, business cycles, and inflation.
-

9. Figure 2.13

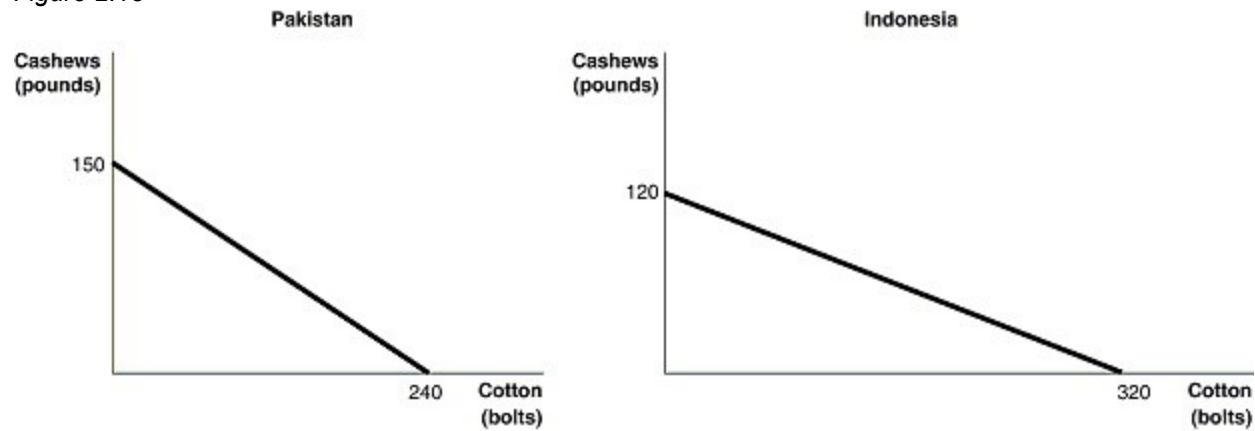
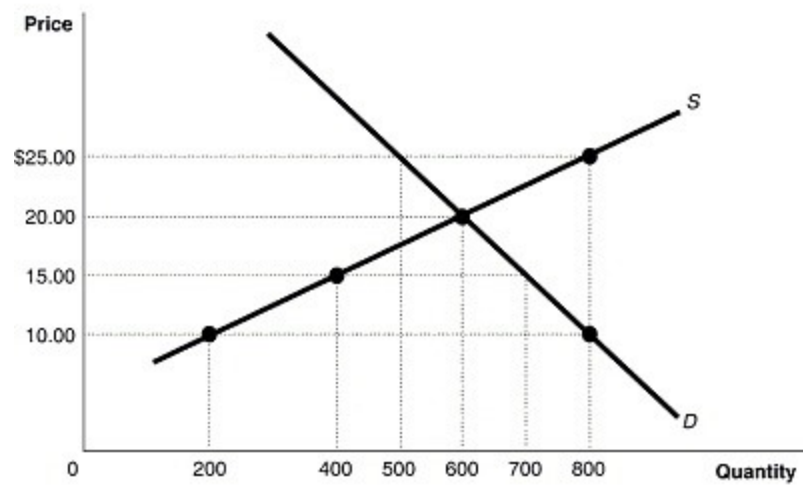


Figure 2.13 shows the production possibilities frontiers for Pakistan and Indonesia. Each country produces two goods, cotton and cashews.

Refer to Figure 2.13. What is the opportunity cost of producing 1 pound of cashews in Pakistan?

- ☐ A. $\frac{3}{8}$ of a bolt of cotton
- ☐ B. $\frac{5}{8}$ of a bolt of cotton
- ☐ C. $1\frac{3}{5}$ bolts of cotton
- ☐ D. 240 bolts of cotton
- ☐ E. 320 bolts of cotton

10. Figure 3.6



Refer to Figure 3.6. At a price of \$10, how many units will be sold?

- ☐ A. 200
- ☐ B. 400
- ☐ C. 600
- ☐ D. 700
- ☐ E. 800

11. The attainable production points on a production possibility curve are

- ☐ A. the points outside the area enclosed by the production possibilities frontier.
- ☐ B. the points of inefficiency, now and in the future.
- ☐ C. the points along the production possibilities frontier.
- ☐ D. the horizontal and vertical intercepts.
- ☐ E. the points along and inside the production possibility frontier.

12. When the price of a normal good falls, consumers buy a larger quantity because of the _____ effect and the _____ effect.

- ☐ A. substitution; income
 - ☐ B. tastes; demographics
 - ☐ C. substitute; complement
 - ☐ D. normal; inferior
 - ☐ E. supply; demand
-

13. The best measure of the income households actually have available to spend is

- ☐ A. disposable household income.
 - ☐ B. national income.
 - ☐ C. household income.
 - ☐ D. net national income.
 - ☐ E. gross national income.
-

14. Which of the following statements about positive economic analysis is *false*?

- ☐ A. Unlike normative economic analysis, positive economic analysis can be tested.
 - ☐ B. Positive analysis is concerned with what is and can potentially be disproven.
 - ☐ C. There is much more disagreement among economists over positive economic analysis than over normative economic analysis.
 - ☐ D. Positive analysis uses an economic model to estimate the costs and benefits of different course of actions.
 - ☐ E. There is much more disagreement among economists over normative economic analysis than over positive economic analysis.
-

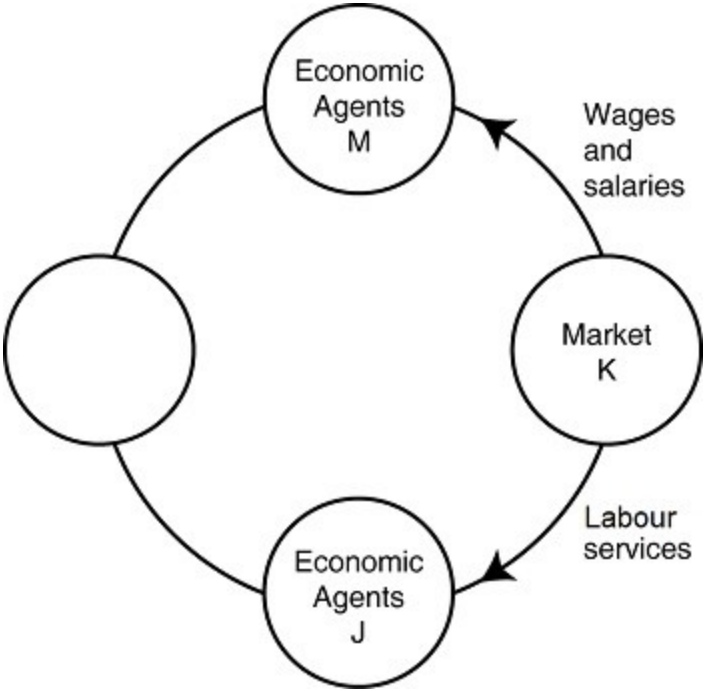
15. Suppose your provincial government encouraged new medical school graduates to take over rural and small town practices from doctors wishing to retire by paying both the new and retiring doctors \$100,000. These doctors would be exemplifying the economic idea that

- ☐ A. optimal decisions are made at the margin.
 - ☐ B. people are rational.
 - ☐ C. people respond to economic incentives.
 - ☐ D. people make identical choices.
 - ☐ E. equity is more important than efficiency.
-

16. Macroeconomics is the study of

- ☐ A. how firms make choices.
 - ☐ B. how households make choices.
 - ☐ C. the impact of government interventions on market outcomes.
 - ☐ D. how households and firms make choices.
 - ☐ E. the economy as a whole.
-

17. Figure 2.15



Refer to Figure 2.15. One segment of the circular flow diagram in the figure shows the flow of wages and salaries from market *K* to economic agents *M*. What is market *K* and who are economic agents *M*?

- ☐ A. *K* = product markets; *M* = households
- ☐ B. *K* = product markets; *J* = factor markets
- ☐ C. *K* = product markets; *M* = firms
- ☐ D. *K* = factor markets; *M* = firms
- ☐ E. *K* = factor markets; *M* = households

18. The study of economics arises due to

- ☐ A. scarcity.
- ☐ B. greed.
- ☐ C. unemployment.
- ☐ D. unlimited resources.
- ☐ E. money.

19. Which of the following is a true statement about real and nominal GDP?

- ☐ A. If real GDP increases from one year to the next, we know that production of goods and services has risen.
- ☐ B. Increases in average prices do not affect the calculation of nominal GDP.
- ☐ C. If nominal GDP increases from one year to the next, we know that production of goods and services has risen.
- ☐ D. Nominal GDP is a better measure than real GDP in comparing changes in the production of goods and services year after year.
- ☐ E. If real GDP increases from one year to the next, nominal GDP will have risen as well.

20. Table 2.11

	George	Jack
Lawns Mowed	10	6
Gardens Cultivated	5	4

Table 2.11 shows the output per day of two gardeners, George and Jack. They can either devote their time to mowing lawns or cultivating gardens.

Refer to Table 2.11. What is George's opportunity cost of cultivating a garden?

- ☐ A. half a garden cultivated
- ☐ B. one lawn mowed
- ☐ C. one and a half lawns mowed
- ☐ D. two lawns mowed
- ☐ E. two – thirds of a garden cultivated

21. *Table 2.5*

	Serena	Haley
Bracelets	8	9
Necklaces	16	12

Table 2.5 shows the output per week of two jewelers, Serena and Haley. They can either devote their time to making bracelets or making necklaces.

Refer to Table 2.5. Which of the following statements is *true*?

- ☐ A. Haley has a comparative advantage in making bracelets and Serena in making necklaces.
 - ☐ B. Serena has a comparative advantage in making both products.
 - ☐ C. Haley has a comparative advantage in making both products.
 - ☐ D. Haley has a comparative advantage in making necklaces and Serena in making bracelets.
 - ☐ E. Neither Haley nor Serena has a comparative advantage.
-

22. Economists assume that rational behaviour is useful in explaining choices people make

- ☐ A. because economic choices are not needed by rational people.
 - ☐ B. because irrational people do not make economic choices.
 - ☐ C. because individuals act rationally all the time in all circumstances.
 - ☐ D. even though people may not behave rationally all the time.
 - ☐ E. even though people rarely, if ever, behave in a rational manner.
-

23. Table 2.11

	George	Jack
Lawns Mowed	10	6
Gardens Cultivated	5	4

Table 2.11 shows the output per day of two gardeners, George and Jack. They can either devote their time to mowing lawns or cultivating gardens.

Refer to Table 2.11. Which of the following statements is true?

- ☐ A. Jack has a comparative advantage in both tasks.
- ☐ B. George has a comparative advantage in both tasks.
- ☐ C. Jack has a comparative advantage in garden cultivating and George in lawn mowing.
- ☐ D. Jack has a comparative advantage in lawn mowing and George in garden cultivating.
- ☐ E. Neither George nor Jack has a comparative advantage.

24. Table 2.5

	Serena	Haley
Bracelets	8	9
Necklaces	16	12

Table 2.5 shows the output per week of two jewelers, Serena and Haley. They can either devote their time to making bracelets or making necklaces.

Refer to Table 2.5. Which of the following statements is true?

- ☐ A. Serena has an absolute advantage in making both products.
- ☐ B. Haley has an absolute advantage in making bracelets and Serena in making necklaces.
- ☐ C. Haley has an absolute advantage in making both products.
- ☐ D. Haley has an absolute advantage in making necklaces and Serena in making bracelets.
- ☐ E. Neither Haley nor Serena has an absolute advantage.

25. What is the difference between an "increase in demand" and an "increase in quantity demanded"?

- ☐ A. There is no difference between the two terms; they both refer to a shift to the left of the demand curve.
 - ☐ B. An "increase in demand" is represented by a rightward shift of the demand curve while an "increase in quantity demanded" is represented by a movement along a given demand curve.
 - ☐ C. An "increase in demand" is represented by a movement along a given demand curve, while an "increase in quantity demanded" is represented by a rightward shift of the demand curve.
 - ☐ D. There is no difference between the two terms; they both refer to a shift to the right of the demand curve.
 - ☐ E. There is no difference between the two terms; they both refer to a movement along a given demand curve.
-

26. Suppose that when the price of hamburgers decreases, the Li family increases their purchases of ketchup. To the Li family,

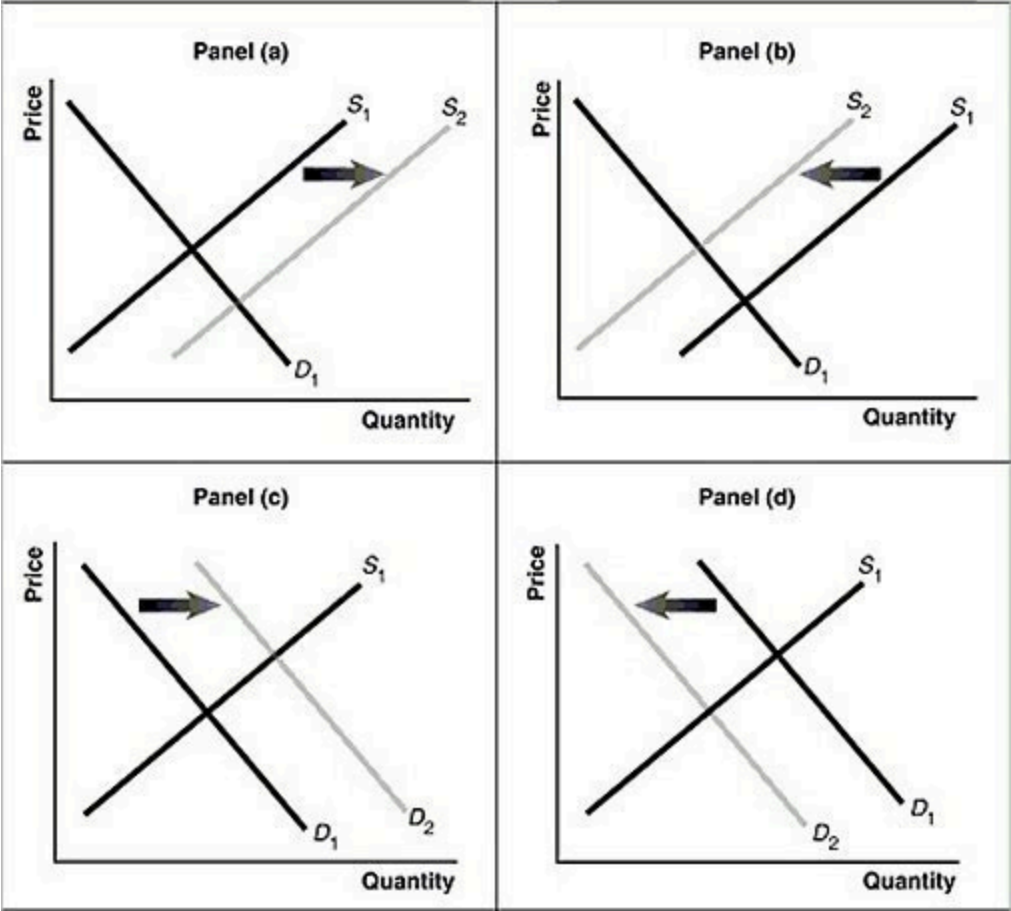
- ☐ A. hamburgers and ketchup are substitutes.
 - ☐ B. hamburgers and ketchup are unrelated goods.
 - ☐ C. hamburgers and ketchup are normal goods.
 - ☐ D. hamburgers are normal goods and hot dogs are inferior goods.
 - ☐ E. hamburgers and ketchup are complements.
-

27. The principle of opportunity cost is that

- ☐ A. unlimited wants exceed the limited resources available to fulfill those wants.
 - ☐ B. the cost of production varies depending on the opportunity for technological application.
 - ☐ C. in a market economy, taking advantage of profitable opportunities involves some money cost.
 - ☐ D. the economic cost of using a factor of production is the alternative use of that factor that is given up.
 - ☐ E. taking advantage of investment opportunities involves costs.
-

28. The term "market" in economics refers to

- ☐ A. a place where stocks are traded between a group of international buyers and sellers.
 - ☐ B. a group of buyers and sellers and the arrangement by which they come together to trade.
 - ☐ C. a place where money changes hands between institutions and the arrangements they make.
 - ☐ D. an organization which sells goods and services to a group of buyers who make decisions at the margin.
 - ☐ E. a legal institution where exchange can take place between a group of buyers and sellers.
-



Refer to Figure 3.13. Assume that the graphs in this figure represent the demand and supply curves for Fruitopia, a soft drink. Which panel describes what happens in the market for Fruitopia when the price of Snapple, a substitute product, decreases?

- ☐ A. Panel (a)
- ☐ B. Panel (b)
- ☐ C. Panel (c)
- ☐ D. Panel (d)
- ☐ E. Panels (b) and (c)

30. *Table 2.1*

Production choices for Tomaso's Trattoria

Choice	Quantity of Pizzas Produced	Quantity of Calzones Produced
A	48	0
B	36	15
C	24	30
D	12	45
E	0	60

Refer to Table 2.1. Assume Tomaso's Trattoria only produces pizzas and calzones. A combination of 24 pizzas and 15 calzones would appear

- ☐ A. along Tomaso's production possibilities frontier.
- ☐ B. inside Tomaso's production possibilities frontier.
- ☐ C. outside Tomaso's production possibilities frontier.
- ☐ D. at the horizontal intercept of Tomaso's production possibilities frontier.
- ☐ E. at the vertical intercept of Tomaso's production possibilities frontier.

31. If nominal GDP rises, we can say that

- ☐ A. production has risen and prices remain constant.
- ☐ B. production has risen, or prices have risen, or both have risen.
- ☐ C. prices have risen and production remains constant.
- ☐ D. prices have fallen and production has remained constant.
- ☐ E. production has fallen and prices have risen.

32. The slope of a production possibilities frontier

- ☐ A. measures the total cost of producing one more unit of a good.
- ☐ B. measures the opportunity cost of producing one more unit of a good.
- ☐ C. measures the marginal revenue of producing one more unit of a good.
- ☐ D. measures the marginal cost of producing one more unit of a good.
- ☐ E. measures the total revenue of producing one more unit of a good.

33. In the circular flow model, producers

- ☐ A. spend earnings from resource sales on goods and services in the product market.
- ☐ B. sell goods and services in the factor market.
- ☐ C. hire resources sold by households in the factor market.
- ☐ D. and households spend earnings from resource sales on goods and services in the factor market.
- ☐ E. supply labour, entrepreneurial ability, and other factors of production to firms.

34. Table 4.1.1

Category	Millions of \$
Inventory	6
Gross mixed income	200
Final Consumption	1,500
Compensation of Employees	900
Gross Operating Surplus	400
Gross Fixed Capital Formation	450
Taxes less Subsidies	200

Refer to Table 4.1.1. Based on the information provided, what is GDP in this economy using the income approach?

- ☐ A. \$1,700 million
- ☐ B. \$1,750 million
- ☐ C. \$3,006 million
- ☐ D. \$3,656 million
- ☐ E. \$4,256 million

35. Productive efficiency is achieved when

- ☐ A. there are no surpluses in the market.
- ☐ B. firms produce the goods and services that consumers value most.
- ☐ C. firms produce goods and services at the lowest cost.
- ☐ D. firms add a low profit margin to the goods and services they produce.
- ☐ E. there are no shortages in the market.

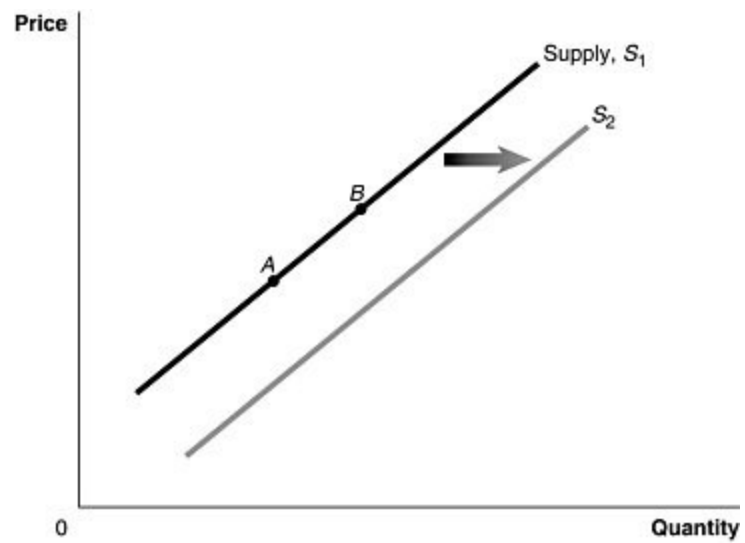
36. Studies have shown links between calcium consumption and a reduction in osteoporosis. How does this affect the market for calcium?

- ☐ A. The calcium demand curve shifts to the left because this new information will increase the price of calcium.
 - ☐ B. The calcium supply curve shifts to the left because this new information will increase the price of calcium.
 - ☐ C. The calcium supply curve shifts to the right because of a change in tastes in favour of calcium.
 - ☐ D. The calcium demand curve shifts to the left because this new information will affect expectations of osteoporosis.
 - ☐ E. The calcium demand curve shifts to the right because of a change in tastes in favour of calcium.
-

37. Raul restores old motorcycles. Raul has just spent \$9,000 purchasing a 1920 Indian Scout motorcycle which he expects to restore and sell for \$25,000 once the work is completed. After having spent \$9,000, Raul realizes that he will need to spend an additional \$5,000 on materials to complete the restoration. Alternatively, he can sell the motorcycle without restoring it for \$11,000. What is his marginal benefit if he sells the motorcycle without restoring it?

- ☐ A. \$2,000
 - ☐ B. \$5,000
 - ☐ C. \$11,000
 - ☐ D. \$14,000
-

38. Figure 3.3



Refer to Figure 3.3. An increase in the price of substitutes in production would be represented by a movement from

- ☐ A. A to B.
- ☐ B. B to A.
- ☐ C. S_1 to S_2 .
- ☐ D. S_2 to S_1 .
- ☐ E. 0 to A.

39. Figure 2.13

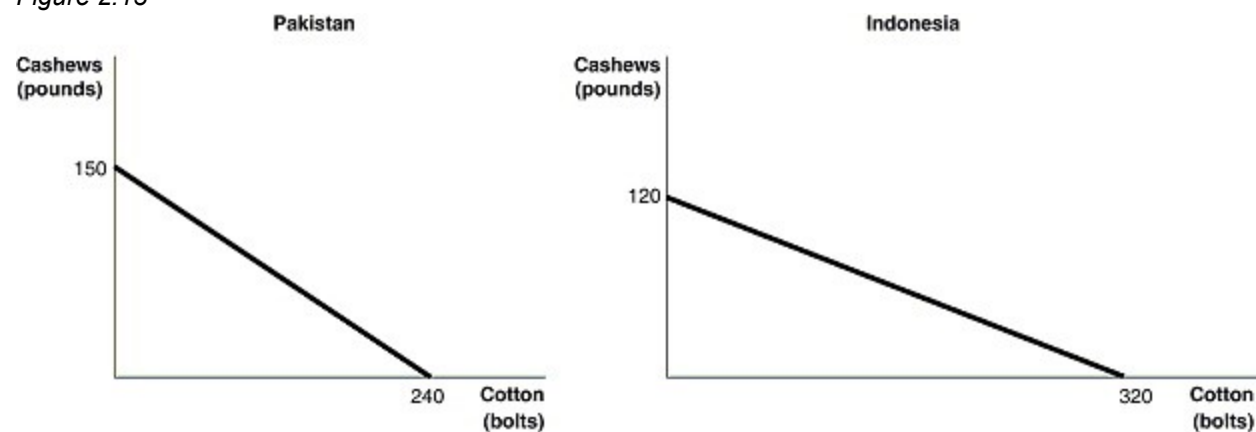


Figure 2.13 shows the production possibilities frontiers for Pakistan and Indonesia. Each country produces two goods, cotton and cashews.

Refer to Figure 2.13. What is the opportunity cost of producing 1 bolt of cotton in Indonesia?

- ☐ A. 3/8 of a pound of cashews
- ☐ B. 5/8 of a pound of cashews
- ☐ C. 2 2/3 pounds of cashews
- ☐ D. 120 pounds of cashews
- ☐ E. 320 pounds of cashews

40. Which of the following is a normative economic statement?

- ☐ A. Rising global demand for coal has led to increases in the price of coal.
- ☐ B. Pharmaceutical manufacturers should not be allowed to patent their products so prescription drugs would be more affordable.
- ☐ C. With rising mortgage rates and rising unemployment rates, the number of unsold homes has increased.
- ☐ D. Toronto is considering increasing funds for light – rail development to promote the use of public transportation.
- ☐ E. The minimum wage law causes unemployment.

41. In 2022, Kendall Ford, an automobile dealership, spent \$20,000 on a new car lift for its repair shop, \$2,000 on a new copy machine for its sales division, and \$600,000 on Ford Motor company stock. Unsold cars and trucks were valued at \$400,000 on January 1, 2022, and unsold cars and trucks were valued at \$900,000 on December 31, 2022. What is Kendall Ford's total investment spending in 2022?
-

- ☐ A. \$22,000
 - ☐ B. \$322,000
 - ☐ C. \$522,000
 - ☐ D. \$620,000
 - ☐ E. \$1,022,000
-

42. *Scenario 4.1*
CANOES – R – US makes canoes. It buys the shell of the canoe from another firm for \$300 and uses its labour and intermediate goods to make the canoe. It sells the finished canoe to a retail canoe store for \$800. The retail canoe store then sells the canoe to a consumer for \$1,200.

Refer to Scenario 4.1. The value added of CANOES – R – US for each canoe equals

- ☐ A. \$1,200.
 - ☐ B. \$800.
 - ☐ C. \$500.
 - ☐ D. \$400.
 - ☐ E. \$300.
-

43. *Table 4.27*

Net national income	\$1,000
Retained earnings not paid as dividends	50
Transfer payments	40
Interest on government bonds	20
Personal taxes	30

The components of national income for an economy are represented in Table 4.27 above. All values are in billions of dollars.

Refer to Table 4.27. What is the level of disposable household income for this economy?

- ☐ A. \$1,080 billion
- ☐ B. \$1,010 billion
- ☐ C. \$980 billion
- ☐ D. \$860 billion
- ☐ E. \$590 billion

44. *Table 2.5*

	Serena	Haley
Bracelets	8	9
Necklaces	16	12

Table 2.5 shows the output per week of two jewelers, Serena and Haley. They can either devote their time to making bracelets or making necklaces.

Refer to Table 2.5. What is Serena's opportunity cost of making a necklace?

- ☐ A. 1/2 of a necklace
- ☐ B. 12 necklaces
- ☐ C. 1/2 of a bracelet
- ☐ D. 2 necklaces
- ☐ E. 3/4 of a bracelet

45. Table 2.6

	One Digital Camera	Wheat (per pound)
China	100 hours	4 hours
South Korea	60 hours	3 hours

Table 2.6 shows the number of labour hours required to produce a digital camera and a pound of wheat in China and South Korea.

Refer to Table 2.6. What is South Korea's opportunity cost of producing one digital camera?

- ☐ A. 0.05 pounds of wheat
- ☐ B. 20 pounds of wheat
- ☐ C. 25 pounds of wheat
- ☐ D. 60 pounds of wheat
- ☐ E. 100 pounds of wheat

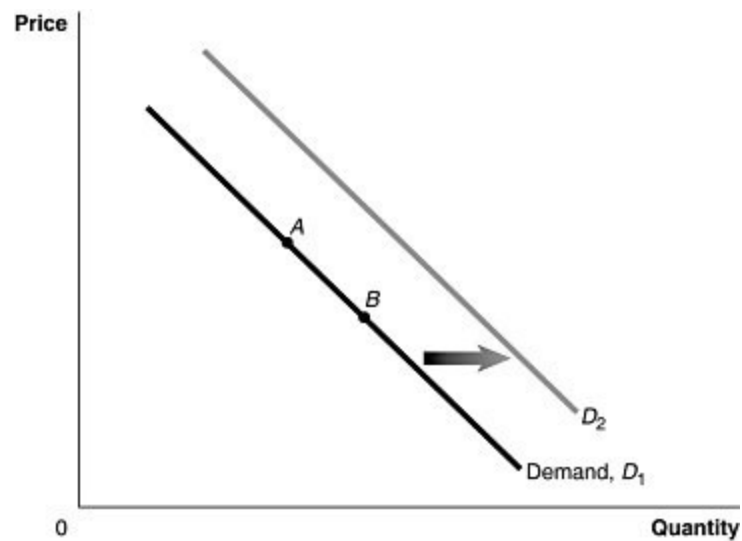
46. The income effect of a price change refers to the impact of a change in

- ☐ A. demand when income changes.
- ☐ B. the price of a good on a consumer's purchasing power.
- ☐ C. the income that consumers have available to spend.
- ☐ D. the quantity demanded when income changes.
- ☐ E. income on the price of a good.

47. Households

- ☐ A. sell resources in the factor market.
- ☐ B. buy resources in the factor market.
- ☐ C. have no influence on the circular flow in a market economy.
- ☐ D. purchase resources in the factor market.
- ☐ E. sell goods in the product market.

48. Figure 3.1

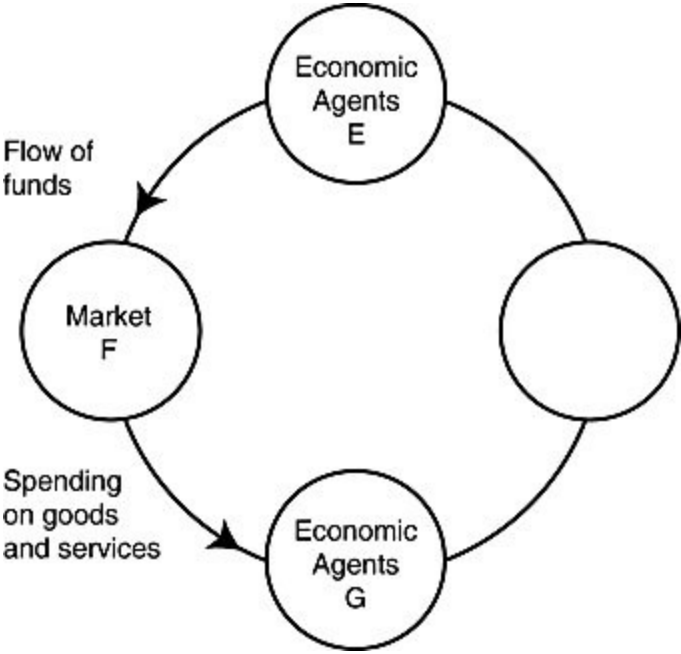


Refer to Figure 3.1. A case in which consumers no longer cared for a product would be represented by a movement from

- ☐ A. A to B.
- ☐ B. B to A.
- ☐ C. D_1 to D_2 .
- ☐ D. D_2 to D_1 .
- ☐ E. A to 0.

49. The law of demand implies, holding everything else constant, that

- ☐ A. as the price of bagels increases, the quantity of bagels demanded will increase.
- ☐ B. as the price of bagels increases, the quantity of bagels demanded will decrease.
- ☐ C. as the price of bagels decreases, the demand for bagels will decrease.
- ☐ D. as the price of bagels decreases, the demand for bagels will increase.
- ☐ E. as the price of bagels increases, the demand for bagels will decrease.



Refer to Figure 2.17. One segment of the circular flow diagram in the figure shows the flow of funds from economic agents *E* to market *F*. Who are economic agents *E* and what is market *F*?

- ☐ A. *C* = product markets; *A* = factor markets
- ☐ B. *E* = firms; *F* = factor markets
- ☐ C. *E* = households; *F* = product markets
- ☐ D. *E* = households; *F* = factor markets
- ☐ E. *E* = firms; *F* = product markets